

Caught in a Global Whirlpool

Trouble in Southeast Asia had started brewing in May as Thailand tried to defend its currency against speculative attacks. Thai companies had borrowed heavily in dollars and were struggling to pay interest on it because of a slowdown in the economy. The contagion spread to Malaysia, Philippines and Indonesia within a week, and all three countries had to devalue their currencies. There was mayhem in currency and stock markets across Southeast Asia.

Despite the storm raging next door, the Indian market, strangely, was an oasis of calm. The Sensex, in fact, rose a little in July when Thailand, Malaysia, Philippines and Indonesia were battling to save their currencies. It helped that capital controls in India did not allow our companies to borrow in foreign currency at will, and also restricted foreign investments in the country.

Amid all this turmoil, the bull and bear cartels continued to snipe at each other at every opportunity. One of the Sensex companies announced a bonus issue of one share for every one held (a 1:1 issue, in industry parlance), which exceeded market expectations. There had been talk of the company announcing the bonus issue at its annual general meeting. Similar chatter in the past had mostly resulted in disappointment, and some of the seasoned players had felt the bonus issue, even if announced, would not be a generous one. But many in the market had high expectations from the company.

The bears short-sold their shares, betting that the bonus share issue would disappoint the market. The bulls thought otherwise, and loaded up on the